Les Schwab
Pride In Performance
Keep It Going!

by

Les Schwab

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Table of Contents

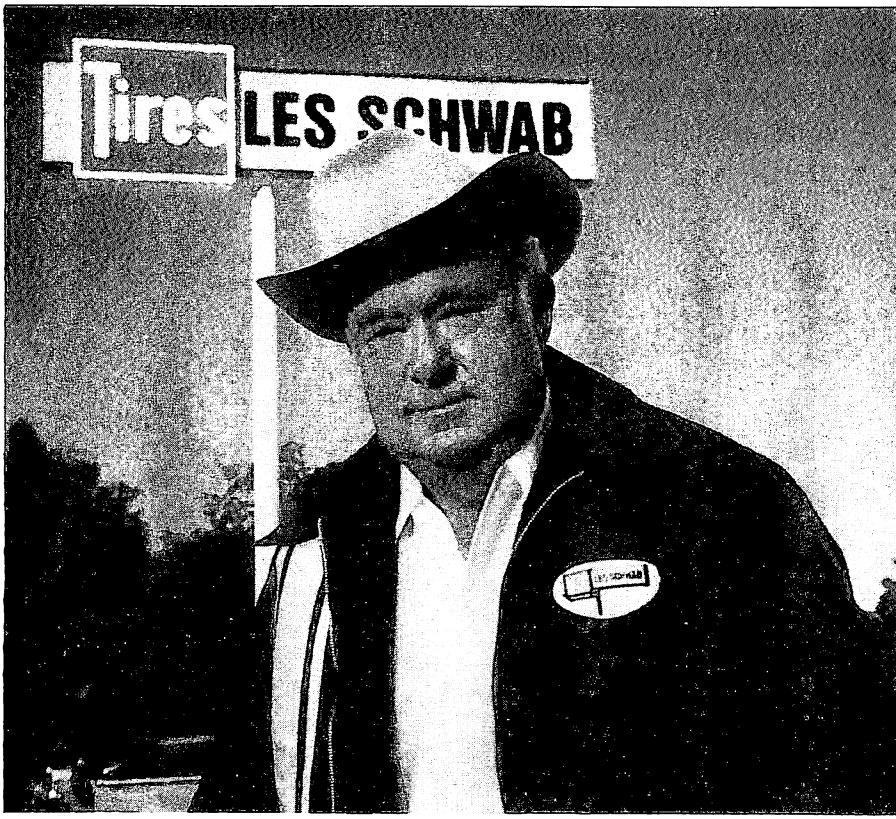
Foreword 1
Preface 2
Early Years 5
High School 8
Dorothy Harlan, My Future Wife 11
The *Bulletin,* Bend, Oregon 12
World War II 13
Post War 15
Looking to Buy a Business 17
First Day in Business 19
Frank Canady 20
Rubber Company Phoney Policies 20
Daughter Margie Born — Frank Canady 22
First Profit Sharing Contract 24
Start of Production Center 24
Entering Bend — 3rd Store 25
Entering Madras — 4th Store 26
Fight with O.K. 27
Thinking of Future — Dreaming — Planning 28
John Day — 5th Store — Dick Hammack 29
The 100 Story 31
Oakridge — 6th Store 33
First Member Dealer 34
Hood River — Our 7th Store 35
The Dalles — Our 8th Store 36
General Tire Dealer Development Program 36

Walnut-Sawdust Combination Rubber 37
Synthetic Rubber 38
Steel Tire Studs 39
Siping and Retreading 42
Driving Many Miles 43
Norm Nelson 44
Radio Advertising — Free Beef 46
Cleaning Up Stores — Free Flats for Ladies 48
Start of Supermarket Tire Stores 50
Start of Cattle Ranching 50
Start of Klamath Falls and Hermiston Stores 51
Start of Assistant Manager Program 53
Supervisors or What? 55
More on Supermarket Tire Stores 55
Restaurant Experience 56
Corporate Executives — Rubber Companies 57
The Les Schwab Tires Sign 60
L. S. Profit Sharing Trust 61
First Profit Sharing Contract 62
New Prospective Controller — Theories 62
More on Trust 64
Klamath Falls 65
Zoning Problems, Bend and Others 66
Lebanon, First Store West of Cascades 68
Burns and Shorty Severance 68
Norm Nelson Comes to Main Office 70
My Son Harlan 71
Bob Newell — Lewiston 73
Bob Finzer — Manager Retreading 77
Harlan Schwab — Giant Tires 78
Don Miller Joins Company 79
Death of Harlan Schwab 80
Matt Tomseth — Diana — Alan 81
Margie's Wedding — Ranch 82
Don Miller and Norm Nelson Buy Out 87
Unselfish for Good Reasons 92
Rehash of First Store 93

Office People Vs Store People 94
Zone Managers and Zone Meetings 95
Plum Stores 97
J. C. Penney 99
"Share" Program Added 100
Nelsen Tire Warehouses 102
Company Airplanes 103
Thoughts of Going Public — Buy Out offers 106
Creating Programs — Complacency 109
Thought for New Executive Program 109
Member Dealers 113
Norm Nelson Quits 116
Don Miller Made President 117
Phil Wick Grows 119
Fred Meyer Stores 120
Armstrong and Multi Mile 120
Assistant Manager and Manager Meetings 122
Executive People 123
Entering Seattle 123
Why Prineville? 125
Midway Equipment Company 126
Tom Sherry — Mixing Warehouse 128
Why Not Les Schwab Tire? 129
New Store Percentage Rent Policy 131
New Store Development Program 133
Self Insurance 134
L. C. D. C. 136
Don Miller Heart Attack 138
Les Schwab Heart Attack 140
Phil Wick Named President 141
Don Miller Leaves — Open Book Policy 143
More Mile® Program Created 144
Michelin Tires 145
More on L. S. Trust 148
The Forgotten Working Man 149
Key People 150
Loyalty — Suppliers and Employees 154

Bill Burnside — Plum Store 156
Lanny Lyle 161
Boise Manager Meeting 162
New Type Competition 164
1979 Hawaii Manager Meeting 165
K Mart and Fred Meyer 166
Sunriver 1977 Assistant Manager Meeting 167
Sunriver 1980 Manager Meeting 168
Tire and Retreading Future 169
Sunriver 1981 Manager Meeting 172
Faults of Management 177
Letters from Customers 178
Poor George Story 179
Tire Pricing Policy: Large Accounts 181
L. S. Credit Plan 182
Early Year Customers 183
Vindictive — Right or Wrong? 184
Day in the Desert — Shorty Severance 185
Jack Keith and Lyle School Letters 186
Advertising Theories 188
A Letter from a Store Manager 1982 188
Profit Comparison Report 189
X Dollar Story 190
Les Schwab Trust Bulletins 192
Rudy Contreras 197
Our Company 1985 197
Cost of Discounting 199
Tire Quality and Dealer Quality 201
News Media — Politicians — Social Security 203
W. Edwards Deming 204
Business, America's Backbone 205
Future Objectives 207
1982 Employee Speech 209
Keep Decision Making Lower 211
People and Needs 212
Everyone Had Help Sometime 215
Change of Accounting Firms 217

Policy Book.....218
Estate Planning.....219
Zoning Problems — Portland.....220
Box Canyons — People.....223
Gary Wanderscheid Letter.....224
Original Ideas.....225
34 Years and Ending.....227
1986 to 1989.....229
1995 — Looking Back, by Dorothy Schwab.....232
We Believe in the Same Dream, by Margie Denton.....235
Third and Last Edition, by Les Schwab.....239


Tires
LES SCHWAB

Foreword

This book was written mainly for the 2000 families that make their living selling Les Schwab Tires, and for the thousands of families to follow for the next 20, 30, or 40 years.

I wrote this in November and December of 1985. I did write this 100 percent with my old 40 year old typewriter. I do thank Jan Nolan, my right hand gal, and Lorraine O'Hara, our word processing operator, for helping correct misspelled words and helping on proper punctuation. I didn't have a ghost writer; I wanted it in my own words.

I hope to pass on some of my theories of business to our people, and I hope these theories are used in our business for as long as the Les Schwab Company continues. Should we fail to follow these policies toward customers, and employees, I would prefer that my name be taken off the business.

There could be some interest in this book, especially with our old time customers. Also with people who are interested in business. If so, you are invited to read the book. I hope in some way this book might help you in the business world.

If you are not interested in business, this book will bore you; and, if I were you, I wouldn't waste my time reading it.

Les Schwab

Preface

There are many business people, tire dealers and others who will get ideas which could be useful to them from reading this book. You, of course, are welcome to use them as long as you don't violate our trademarked names or names and terms that are an exclusive to our company.

We will not send out copies of our profit sharing contract, nor will we send out copies of other programs we use. In this day of liability lawsuits, we can't and won't expose our company.

We also cannot take the time from our office to spend a lot of time with visitors. We will for most anyone do this: Make a list of questions you might have, send them in letter form to our office, and we will answer them for you the best we can.

I encourage you to share profits with your employees. I encourage you in every way possible to "Build People." This is good for America, it is good for you, and it is good for your employees. If you do share, do it openly, and honestly, and don't get jealous if they start to make some money . . . that's the whole idea. If you make people under you successful, what happens to you? Aren't you also then successful? But if you think of yourself first, it just won't work, and there's no use attempting it.

What nicer thing can you do with your life than to help young people build their lives into successful people, not just in money, but in all ways. The older I get the more proud I am of the profit sharing programs and other programs that I have created, or have helped to create. I believe so strongly that America is such

a great country and that Capitalism is the best form of government. I think we owe it to America to do our share to see that it continues. The best possible way to make it succeed is to share with people, to help people be successful people.

Early Years

It was October 3, 1929. The Bishop Schwab family was spending the last few days at the home of Grandfather and Grandmother August Schwab on their farm in Isanti County, Minnesota. It was the day the Bishop Schwab family planned to leave for their new home in Oregon. Father Bishop was not there. He was drunk again, so the trip was delayed for one day. On October 4th the family, father, mother Alice, Evelyn 15, Raymond 14, Leslie 12 and baby Joyce 6 months left in a 1929 Chevrolet sedan car. It was a new car.

I was born in a home in Bend, Oregon. My folks homesteaded in the Oregon High Desert area and were homesteading at the time of my birth. The homestead was near the wellknown G. I. Ranch, and was 1-3/4 miles west of the then Fife post office. My family moved back to Minnesota in 1919 when I was about 1-1/2 years old. The homestead is now part of the G. I. Ranch.

There is a book about Crook County schools that shows that my mother taught school at Fife in 1916, one year, at $65 per month. The school, Fife post office, and the Carl and Molly Pauch home are all gone now. What my mother did with my sister, Evelyn, and my brother, Raymond, during the time she taught school I don't know. They had just a two room homestead shack, maybe my Dad took care of them. They were only 1-1/2 and 3 years old. Since I was born on October 3, 1917, I evidently was started while my mother taught school at Fife. I was probably the reason she didn't teach in 1917.

My mother was my teacher for the first 3 grades of school in a country school in Minnesota. Then 3 years of school in a consolidated school in the small town of St. Francis, Minnesota. The 7th

and 8th grades were spent in the Brooks Scanlon Camp schools; the 7th grade was in Brooks Scanlon Camp #1 and the 8th grade in Brooks Scanlon Camp #2. The schools were just a railroad boxcar with somewhat crooked windows cut in one side of the boxcar. Over the years I've had a lot of fun telling the story that I am a Brooks Scanlon graduate, B.S., or B.S.U., standing for Brooks Scanlon University. I'll talk more about this later.

If I remember correctly, there were three of us in the 8th grade. In those days we had to take state exams to graduate from the 8th grade. We all failed. My mother tutored us during the summer, and we all passed the state requirements at the end of the summer. She then took over the school and taught until her death about 1-1/2 years later.

We had an auction and sold all the animals and equipment in Minnesota. After paying all the bills and paying for the new car, there wasn't much left. The farm wouldn't sell as it was the start of the big depression, and the bank finally took the farm back for the debt owed. My mother thought it might help my father's drinking problem if we moved back to Oregon and got away from the atmosphere he had created in Minnesota. But that didn't help, and it caused the Schwab family many heartaches in the less than four years that both my mother and father lived after returning to Oregon.

We were all taught to work at very young ages. It seemed the normal thing to do. Evelyn went to work in the cookhouses for the single men soon after coming to Oregon. She was only 15 years old at the time, a skinny little girl, but she did the job for several years. My brother worked cleaning up the bunkhouses for the single men. There were three newspapers in Oregon in 1929; *The Oregonian, The Oregon Journal,* and the *Merged News Telegram,* all out of Portland. I soon got one of the routes, and before long I got all three newspapers. They came into camp with the log train that came out every day from Bend, and I delivered them during the noon hour of school.

Today, 1985, it would be impossible for any lumber company to have a log camp. Not, at least, the type that Brooks Scanlon had in the 1920's and 1930's. Small two room homes, a two holer, and no running water. Water was hauled by train from town, spigots were spotted around camp, and you took your bucket to

the tap, filled it and carried it to your home.

Some of the larger families put two homes together, others at their own expense, added a kitchen. Today that would be poverty, but the homes were clean and people had fun! There was one community shower. The area was extremely dusty and the men came in from the woods around 4:00 p.m. and headed for the shower. Women and kids could use the shower in the afternoon, but buster, you better be out of the way when the loggers came into camp. We played a lot of group games such as horseshoes, baseball and softball. Kids played outdoors and could find a jillion things to do, such as catching and taming small animals, and hunting rabbits which were eaten. A lot of deer meat was eaten, both in and out of season.

We formed a baseball team at camp. I was only 12 years old but I was the catcher. We didn't have a catcher's mask, I caught without one . . . and sure enough, I got a baseball in the face, and what a black eye I had. In fact, it made me ill for a couple of days. Why these men let a 12 year old boy catch baseball without a mask is a mystery to me today. My mother bought me a mask and I continued to catch and play baseball.

From *The Oregonian*, September 16, 1985 . . . Headline on business page. "LAST RESIDENTIAL LOGGING CAMP IN NATION CLOSES DOWN." Camp Grisdale, Washington (AP) The last residential logging camp in America is shutting down, marking the end of an era in the Northwest's troubled timber industry.

It was the Simpson Timber Co., which operates the Camp Grisdale at the southern end of the Olympic National Forest. Some remarks were: "This is one of the saddest days of my life," said Dorothy Nulf as she prepared to leave the camp with her husband, Clarence, a mechanic at the camp. "I raised my daughter here and she had a real good childhood here."

Today DEQ and other government agencies would not allow the forest to have a log camp. It might spoil the scenery, and the environment. Yet almost every year I take one day and spend it at the former log camps. Today, 52 years later it is totally impossible to find any signs of the old camp sites. I've been around the people of the log camp for the past 50 or more years; and the people, and the children of these people, have turned out

to be much above the average citizen, both in success in business, and in being a good all around citizen. The interference of government in people's lives and interference in private property rights started a few years after this period.

High School

My mother had a strong desire for my brother and me to attend high school. My brother Ray had graduated from the 8th grade and had been out of school for two years, so we started high school together in the fall of 1931. We were two awe struck boys entering the big high school from the logging camp. We boarded at various homes, mostly with people who also had lived in the logging camp. We would come into town early Monday morning and return to the logging camp Friday after school. We missed much of the school activities and pretty much felt like outsiders. One of my biggest fears was that my father would come to school on Friday drunk. It would haunt me all week, as I was proud; poor, but I had a lot of pride. Many a Friday evening we would have to sit in front of some of the old moonshine places until 9:00 or 10:00 p.m. until we could get our drunken ride home to the log camp. This was killing my mother. She was now teaching school and in poor health anyway. It was sad times for the Schwab family.

At the start of my brother's and my sophomore year my mother rented an old house. I think we paid $8 per month rent. My brother and I batched. We didn't eat very good, but we could stay in town on the weekends. This started my newspaper circulation career, as I immediately started to deliver newspapers. I remember so well my first route. I didn't know how to ride a bike; we never had one and my parents wouldn't allow me to ride anyone elses. I ran the route for two months in order to get enough money to buy my first used bike. It was on the far end of town too. I remember going back to the agent's home because of an address mixup, then back to the route. I still couldn't find the

address of a new customer, so back to the agent's home. While talking to the agent I fell over in a dead faint. I hadn't eaten and I had probably run and walked 9 or 10 miles, but I was too proud to complain. I just plain fell over from weakness and complete exhaustion. Just a few months later in response to an announcement over the high school speaker system, I checked into a newspaper route opening for the *Oregon Journal.* I was hoping that maybe in some way I could handle both routes. But that couldn't be, as the newspapers all came in the same way and same time. I talked to a Mr. F. W. Goldenberg who lived in Portland. The *Oregon Journal* didn't have a full time agent in Bend at that time. He was a good talker and I more or less took the route sight unseen, and resigned my *News-Telegram* route. It was a sick looking route and I was somewhat sorry, but it turned out to be a real break for me later.

The *Oregon Journal* was very aggressive for circulation. Goldenberg taught me how to sell, and I soon doubled the route given me by him, and I was fast becoming his hero.

January, 1933 our mother became ill and was in the St. Charles hospital. She died in 9 or 10 days from pneumonia, but as much as anything from complete exhaustion. She just gave out and gave up. With Dad's problem, the rough log camp life, teaching school and baby Joyce . . . it all amounted to just more than she could handle.

My brother Ray and I continued to batch. Evelyn took baby Joyce and continued to work at the cook house in one of the log camps. But Ray and I had a problem. Our father had now been fired at the log camp and he stayed with us. My cousin did us a real favor and took us into his home for a couple of months.

I had considered moving to Washington and living with an aunt and uncle. My boss, F. W. Goldenberg, told me that if I stayed in Bend he would give me the downtown route, with the news stands, and I could keep as much as possible of my old route. By doing this, I could make between $30 and $40 per month and I found board and room at a high school boarding house for $15. Goldenberg fired the young man that had the downtown route and I think this man disliked me for life. Goldenberg made arrangements with the high school so I could finish my newspapers and go to school when done. I would go to

the principal's office, pick up my slip, and pick up at whatever point the class was at that time. I had a first period study hall, so I didn't miss too many classes, but I did miss the study period.

In the summer of 1933, I was 15, and I got my first taste of business, except for my paper routes. My route took me through a motel (one of the real old time ones) and at the edge of the river there was an abandoned swimming pool. Mr. and Mrs. Walker had decided to open this pool and were working on it. I asked them if they were going to sell confections. They didn't seem too interested, so I asked them if I could lease the confection stand and start my own business. They said, go ahead. They gave me free rent.

So I went to the wholesale houses and creamery and bought candy and ice cream. I did all of this on my bike, which did have a basket for my newspapers. We didn't have electricity to my stand so I had to also pack ice. I fixed up this stand myself with hammer, saw and nails. I didn't do too bad, except for one thing that all businessmen have to contend with . . . burglary. About once a week they would break into my stand and steal everything. They broke me. Mr. Walker told me to bring down my candy to his ticket place and work for him. So I did. Mr. and Mrs. Walker were nice people, they were good to me.

My father died almost to the day of my 16th birthday. He was found dead in front of a moonshine joint. We thought there might have been foul play, but it didn't really matter; he had gone so far downhill and was working for 50¢ a day for a rancher.

It sounds like my father was all bad. This isn't true. Why and how a man can let this happen, the Lord only knows. I think it started with Mother going to school to renew her teaching credentials, Dad having an affair with the hired girl, being a person who took one drink and couldn't stop until he completely gave out, and downhill from there on. But he was a hard working, extremely strong man, a gentle man, but a raving maniac when drunk. It certainly brought sad days to our family.

The *Oregon Journal* and *The Oregonian* were just entering into a circulation war. The Sam Jackson family owned the *Oregon Journal.* It was a good newspaper and growing fast. Mr. Goldenberg wanted to start a Sunday route in the farm area. We would deliver the Sunday newspaper and send the daily

newspaper by mail. He wanted me to run it. I needed a car. I bought a 1926 Chev with a box on the back. I think I paid about $75 for it. I can't remember where I got the money, but I believe I paid cash, or nearly paid cash for it as I can't remember any payments.

We scooped *The Oregonian* with this rural route and signed up 75 to 80 percent of all the farms in the rural Bend area. I was the hero with *The Journal* and, even though only 16, I was becoming recognized as a good circulation person.

I wouldn't use my 1926 Chev except on Sunday. I rode my bike during the week, even though I was getting to the age where a 16 year old boy didn't like being seen delivering newspapers, especially on a bike. But money, in this case, was much more important than pride.

During the summer of my 16th year Mr. Goldenberg worked with me to take over the whole city of Bend for the *Oregon Journal*. There were 8 or 9 routes in the town and I took over the whole town during the summer. Actually I was now making about $175 to $200 per month and not even 17 yet, in the middle of the depression. The high school principal, whom I had become friends with because of my many office visits, only made $150 per month. I think I thought I was already a man.

I bought a new 1934 Chevrolet, 2 door sedan. I had the only new car in the high school of 500 students. Only one girl, a daughter of a businessman, had the only other car. Of course, sometimes kids would come to school in their parent's car, but there weren't any traffic jams around the school such as they have today.

Dorothy Harlan, My Future Wife

I began dating the girls and soon met Dorothy Harlan. She was almost the same age, but one year behind because her birthdate was in December. Mine was October 3rd. I think we would have married when we were both 17 except she had to finish school.

We were married at the age of 18, and we will soon celebrate our 50th anniversary. I was lucky; we have been very much in love, and we have had a happy marriage.

We rented a small two room apartment and shared the bath with four other apartments. Seven or eight months later we moved into a nicer apartment and thought we had really arrived. Less than a year later we bought our first home for $1,800, but only lived in it for ten days.

The *Oregon Journal* asked me to move to Eugene and be district manager for the Eugene area. I wanted to move, and, like most young men, get out of the old home town. But I was a sorry young man. I was an eastern Oregonian and the wet valley wasn't for me. After about nine months in Eugene, the *Journal* changed their program. They made much larger territories for the district managers and cut down to nine districts in place of the 27 they then had. I was, even though only 20 years old, lucky enough to be picked as one of the nine men. I got back to eastern Oregon covering about half of eastern Oregon.

Upon leaving Eugene I found myself in debt about $900. Dorothy traveled with me, and we stayed in motels that had kitchens. We didn't have a home for about 18 months, so we really paid off all our bills. I vowed then to never get in over my head with debts, and I have kept this vow. Dorothy became pregnant, and it was with our wishes. We had been married nearly four years. Harlan, our son, was born June 23, 1940, but it stopped Dorothy from traveling with me. I was one lonely man.

The *Bulletin*, Bend, Oregon

The phone rang one day, the Bend *Bulletin* wanted to talk to me about becoming their circulation manager. Their circulation manager had been killed in the war and they could now offer a permanent job. They offered me $45 per week. I was already making over $50 per week with commissions. I thought it over and told them I would take the job for $60. They said, you've got

it. There were three owners, or stockholders, in the *Bend Bulletin*; Robert W. Sawyer, Publisher, Henry Fowler, Editor, and Frank Loggan, Advertising. Mr. Sawyer was definitely the head man and owned about 80 percent. The one question I asked was this, "Who is my boss?" It was supposed to be Mr. Sawyer and no one else, but after a few months it appeared I had three bosses. One day I went into Mr. Sawyer's office and said, "I was told that you and you alone are my boss." He said that was right. I told him it appeared I had three bosses. I was told I was a department head the same as Loggan and Fowler. He said that was right, and called in the other two men and told them the facts of life; thereafter I didn't have a problem with three bosses. If I hadn't done this, my life at *The Bulletin* would have been miserable. The one thing I did know was newspaper circulation work, and I knew a lot more about it than the two minority owners. Thereafter I was a department head as much as possible. The circulation end of newspaper work is usually regarded as the lower end of the prestige ladder. I attempted to put some pride into the circulation work, for myself and for others. I was young, sometimes cocky; but this same cockiness helped me a lot in going through life. I could hold my own, but often times I didn't impress some of the high society people.

World War II

The war had started and was getting larger. Harlan was a pre-Pearl Harbor child, and that was supposed to keep you out longer. But in my case it didn't seem to help. They started breathing down my neck and I volunteered for the Air Cadets. First you needed two years of college, which I didn't have; then they said if you could pass a test they would waive the college. I took the test in the Episcopal Church and passed it. They soon called me in and I was now an air cadet.

I'll never forget walking away from my wife and son in Redmond where they had moved in with her parents. I had a lump in

my throat that would choke a horse. I had absolutely no desire to go to war.

Basic training was hell at Shepard Field, Wichita Falls, Texas, and I missed my wife and son terribly. I was there about six or seven weeks, then off to Randolph Field, Texas. Randolph Field was then the West Point of the Air Force. Dorothy took the train and came to visit me, but it was nearly impossible to get any passes from the Cadet Corp. She stayed until I got my first leave and we went to Redmond. I had to get back and went back to Texas alone. Dorothy and son Harlan came down later and began their miserable life of following me.

I went from Randolph Field to SACC (San Antonio Aviation Cadet Center), then to Brooks Field also in the San Antonio area, and then to Monroe, Louisiana. Dorothy had found work at an officer's family home as a maid at Randolph Field. The first home was miserable, but the second home was with great people. We still correspond to this day. Dorothy and three year old Harlan went with me to Monroe where they lived in a miserable small bedroom, but they were in the area. I couldn't get off base except on Sundays. The war ended while we were in Monroe.

The war ended in September, 1945, and in 60 to 90 days I got out with the help of Robert Sawyer, Publisher of the Bend *Bulletin*. But when I walked up to the pay window to get my $600 severance pay they told me, "Young man, you don't get any. You got out under some regulation called, 'For the good of the country', and under this you lose your severance pay." My family and I really needed this $600, but it was not to be had. As I think back today, if I had an employee I asked to get out of the service and he lost money due to my request, I would pay him this money. It didn't even enter my mind that the newspaper should have probably given me this payment. With most companies in those days you got paid on payday and that was it . . . absolutely no benefits.

I was now 28 years old. I had ambition, and, overall, I did a good job as circulation manager of *The Bulletin*. I wanted to buy in, but it was lucky that I couldn't. I wanted to go into business as I had always wanted to be a businessman, but I didn't have any money. The war had taken just about all our savings, plus the

fact we sold our home for $3,400 (the same type of home then cost $10,500). The war really set us back financially. I did line up a magazine wholesale business which I almost started. It would have been a new business to Central Oregon, but I felt guilty to my boss, Mr. Sawyer. I had only been home about eight months and his circulation department was in one hell of a mess. So I dropped the idea and another man took up the idea and went ahead. I was jealous of this man for a long time, but again, I was lucky. The magazine business did not have a good future.

Post War

I was going through a period at this point of not knowing just what I wanted to do. The war years had set Dorothy and me back a lot. I always loved sports, but never had a chance to play. My ambition as a youngster was to play in the major leagues some day, but as I think back now I never would have been good enough to do that. Fast pitch softball was popular just after the war and we had played a lot of it in the army. We formed an upper and lower league in Bend. I watched the windmill pitch and thought, hell I could do that. In playing baseball as a youngster I more or less threw my arm out so I threw a lot of underhand balls because it didn't hurt my arm as much. I caught in baseball, but had a problem in getting the ball down to second base fast and hard enough. So I took up the fast pitch softball, and after about the second year I was getting pretty good. For a period of about two or three years I was the best fast pitch softball player in Central Oregon. Our team went to the state tournament in Pendleton, and we lost the first game by a 2 to 1 score. I also pitched for another team in Baker in the state tournament, but only pitched the last three innings. They didn't score on me, but we also lost this one by a 2 to 1 score.

I also organized a Junior League. We had eight teams and I just about ran the whole show. It was very successful, but God, the hours I put in. Almost every evening I was either playing or

running the Junior League. I remember one night a man who worked for *The Bulletin* was on my back, I lost my temper and told him if he knew so damn much why didn't he help me with the league. I think I speeled on for about five minutes telling him off. The next day I waited for the fireworks as I walked through the shop. He did stop me and I thought, here it comes, but he said, "You thought you ate my ass out, but you should have heard my wife after I got home." Anyway, the kids had fun in the Junior League that I almost ran by myself.

I was active in the Junior Chamber of Commerce, Toastmaster Club, and head of the tourist promotion part of the Senior Chamber of Commerce. Almost every evening I had something going on, two or three noon meetings each week, and being circulation manager of *The Bend Bulletin* at that time was not really an easy job. I did win a nice award that year as being the outstanding Jaycee Young Man of The Year for Bend. I guess it was worth it and I learned a few things. When I went into business I decided I had worked enough for other people and that hereafter I would work for myself and my family. I have never been active in civic work since then; I feel it is a lot easier to give money than it is time, and I've tried to be generous in that way. I have a lot of respect for the great people who do the free work for their community, men such as Cecil Sly, Rev. Jim Howard and many others.

I was learning a lot as circulation manager, learning to work with people, to organize and to promote. After a couple of years I had the circulation department humming. I started an "Honor Carrier" program with my newspaper boys. I had about 50 newspaper boys and when I first came home about 10 of the 50 would quit every month. I had to go to the schools, get a list of the 7th and 8th grade pupils, go to the homes and actually sell the routes. This is when I started to hire some girls to deliver newspapers. They worked out great, but it was nearly a first. Heretofore, girls never delivered newspapers. I remember well one wisecrack one of the newspaper boys made shortly after we started hiring girls for the routes. He asked, "Les, what are you going to call the girl carriers? You can't call them newspaper boys, so I guess you'll have to call them paper bags." But girl carriers worked out great, and, in fact in most cases, I believe

they were more dependable than boys.

Giving recognition to the carriers through the "Honor Carrier" club worked great. Each month I had one Honor Carrier and ran his or her picture in the paper with a short story and gave them a $25 bond. Then they could start over again and work up the ladder and were called one star honor carriers. Some worked up to be two and three star honor carriers. They earned this right through getting new customers, good service (not more than four complaints of missed papers per month), by bookkeeping and collections.

Looking to Buy a Business

I was 33 years old now and still wanting to go into a business of my own. Money was the main thing holding me up. I didn't want a service station, or something that didn't have some kind of a future to it. I did think a lot about the wholesale gasoline business, but these didn't open up very often. They, too, were pretty much controlled by the oil companies, and as I think back, if I had gone into the wholesale oil business I am sure I would have wound up having an independent type dealership.

My brother-in-law had made a lot of money in the lumber business in the Mitchell, Prineville and John Day areas. He was in partnership with his brothers and they had a lot of guts. They had started with a small mill at Camp Watson, 20 miles or so northeast of Mitchell. They bought a lot of private timber from local ranchers, much of it for around $1 per thousand board feet. The war started, prices went up, and there was a fortune to be made in making lumber. They built, shortly after the war, a larger mill in Prineville and it operated until the company went out of business in 1983.

Fred Hudspeth, my brother-in-law, told me to find a business and he would help me finance it. That was all I needed, and I started to look seriously, as I knew time was running out. I believed if you didn't get started in business at a fairly young age

you would get into a rut and never make the big decision to jump. There was a tire business for sale in Prineville. At first, Fred wanted to buy this business and make it a three way partnership between his brother, John, himself and me. In fact, we went so far as to decide to go ahead, take inventory and take it over the following first of the month. I was to give my boss notice on Monday. Fred called me Sunday evening and said his brother John didn't want to go ahead. I was disappointed, but very lucky this happened. I have often thought what their one-third each would be worth today; but with their later financial problems I am sure they would have taken all of my expansion money and the Les Schwab companies wouldn't have been able to expand. It would not have worked out under the partnership plan.

A few months later Fred, Dorothy, her sister Margaret and I went to Corvallis to an Oregon State-Stanford football game. On this trip Fred mentioned he knew I was disappointed and that if I could find a business he would help me with the money and I could be alone. That was all I needed to know, and I earnestly started looking. I always went back to the small tire shop, the O.K. Rubber Welders in Prineville, Oregon. I thought it, the tire business, had a future. I remember telling my wife I thought I was a salesman, a pretty good one, and maybe that ability could be used in the tire business. This small shop retreaded tires, sold new tires, fixed flats and it was hard, knuckle busting, dirty work. The price of the shop was $11,000, plus inventory. Mr. Winn, the father of the Prineville operator, owned the building and I leased it for two years with a three year option. I got $11,000 from my brother-in-law, sold my home, and borrowed on my life insurance. Altogether I raised $3,500 and I gave $2,800 of this to Marshall Winn, the man I bought out for the small inventory of retread rubber. The new tires were on consignment from General Tire and I was in business taking over January 1, 1952.

First Day in Business

I had never fixed a flat tire in my life. I always put on my spare and took my flat tires to a service station. Marshall Winn agreed to stay with me for 90 days, but he wasn't much help. He had only one employee, Bill Welch, who did understand the tire business quite well and he stayed with me until his retirement. Bill never did work into any management positions but he worked until his early retirement at about age 55 when he took a medical retirement.

I remember telling my wife many times that if I ever got a chance to go into business I had some ideas about sharing with people and about sponsoring people in business. There are a lot of people who could run a business, but would never get a chance due mostly to the lack of start up money. I was going to furnish the money and in some way share with them in the promotion of our business.

January 1, 1952, my first day on the job. I was the first one there. Both Bill Welch, my employee, and Marshall Winn had a habit of coming in late. A man wanted a couple of 6 ply tires mounted on his wheels. All we had were hand tools and we changed the tires on the floor. I had these two tires all over the place, and if I remember correctly one of the two other men finally came in and saved me.

The first month we did $2,800 in sales, but it was nearly all retreading which carried a total gross profit of nearly 70 percent. I took $350 salary and paid my man $300, so after salaries I still had $840. I believe I only paid $100 or maybe $150 rent, so I actually made a small profit the first month. February was even less in sales, but in March I started going and by June and July I was doing $10,000 and more per month in sales; at year end I had $150,000 in sales. The man I bought out did about $32,000 per year in sales.

Frank Canady

About April I needed another man. I told Bill Welch he could hire him as I was going to be the outside salesman and he would have to work with him. He hired a man, but the man didn't work out. About that time a beautiful young man by the name of Frank Canady walked into the store. He said he and his wife wanted to live in Oregon. They had stopped on top of the hill and by looking down into Prineville they decided they wanted to live here. He said he looked around and decided he would like to work for me. He gave me a reference, I made one phone call and hired the man. This was probably my first good move in business. I let the man go that Bill Welch hired and thereafter I hired my own people. Within a couple of days Frank Canady was already a very important man. I had started a profit sharing program for the two men, but it wasn't what I really wanted. I kept thinking.

Rubber Company Phoney Policies

I started in 1952. At this time, and for years and years to follow, the pricing policies of the major rubber companies, on truck tires, to their dealers were most unfair. They were all the same, all five of the major American rubber companies. The cost of a truck tire, to the dealer was, at least in theory, the same from all five companies. For example, if a truck tire cost the dealer $100, he would find, when he made sales calls, that someone else would be selling a like tire for $90. The dealer would then call his supplier, his supplier would say, sell them for $90 and we will

give you 5 percent commission.

You would send in copies of the invoice, the rubber companies would then cancel your $100 billing, rebill at $90, less 5 percent. BIG DEAL. You would have more than 5 percent in interest expense, and bookkeeping costs before you got through. This was called, "meeting a competitive situation." I called it milking the dealer of his profit as his cost shouldn't have been as high as $100 in the first place.

I, too, had to contend with this until I made my connections with Toyo Tire Company from Japan. I say, thank God for the foreign tire supply; it helped the independent tire dealer, at least it certainly helped me.

Tire dealers were forced to put up with this baloney and it broke many of them. I did everything possible to move the figures around some way so that I could survive. I think I did a better job than other dealers as I made it through this period. Even though it was impossible to make a reasonable profit on new tires, I usually always got the retreading, and I could make a decent profit on that. By handling the business on a one-man basis (sales, service, credit, the whole works) I could operate very cheaply. Business was good and I was making a reasonable profit on paper, but I was having trouble with collections, and that made me walk the floor nights. Most of my credit problem was with my largest account.

I had a theory that went like this. Never take advantage of a customer, never take advantage of an employee, but take all the advantage you possibly could of a rubber company because they were not being fair and honest with me during this period. I said that when I went before Saint Peter on my judgment day he would look over my record and say "Oh, I see you were good to your employees, that's in your favor; Oh, I see you took advantage of the rubber companies, that's in your favor; I'll give you a good mark for that." While saying that, I would put a mark in the air for the good mark.

Today, 1985, I don't feel the same way toward rubber companies as I did 25/30 years ago. They are much better people today. Maybe people like me finally made Christians out of them. Whatever . . . today I don't want my company to take advantage of anyone, even the rubber companies. But I certainly

won't apologize for anything I did, in order to survive 25/30 years ago. I am proud that I had the guts to fight hard enough to survive this period. I feel strongly that the rubber companies were very unfair to their dealers during the early days of my tire business. But, really, in many ways this proved to work out in our favor . . . . I'll get into that later.

Mary Kay, founder of the very successful Mary Kay Cosmetic Company, has a saying . . . do good for people and it will come back to you ten fold. Do bad and it also will come back to you ten fold. The five major American rubber companies have received their just awards as two of them have dropped truck tires entirely, and the other three aren't doing very well with truck tire sales. It serves them right, they have earned their failure.

Daughter Margie Born — Frank Canady

June 30th came along, six months after starting business, and my daughter was born. She was so tiny, four pounds, but went down to less than that. We had to leave her for a few weeks in the hospital. She is 33 years old now, and we have had 33 great years. She has been a joy to Dorothy and me.

Frank Canady's wife had a baby girl a week later. November came along and Frank told me he just had to take his wife back to Indiana, as she was so shaken up with the baby she needed to be close to her mother. He said he would be back in four or five days and help me through the snow tire rush. Sure enough, in about five days he was back and stayed for six weeks. What a tremendous man this man was and what a help he was to me during my first year in business. About Christmas time Frank left to go back to his wife in Indiana. He had helped pull me through that first snow tire rush. In the meantime I had picked out a man I thought would be good and had lunch with him. He had a good job and I didn't think he would be interested. I didn't have much to offer except that I planned to grow and he could grow with me if I was successful. His name was Bob Dickman, another tre-

mendous man. He joined up with me, and today he just retired as our member dealer in Junction City. His son now owns their business. He was successful as our independent dealer and his son is successful too.

The spring of 1953 Frank Canady and I began corresponding. His wife had solved her problems, and he wanted to come back to Oregon. I told him I wanted to branch out in Redmond and would love to have him back. He got here in August and worked at the Prineville store until we opened our new small store in Redmond about the last of September.

I had bought two lots in Redmond for $2,250. The man who owned it was a retired logger, a real fine gentleman. I bought 75 feet of frontage by 137 feet deep, but in thinking it over I asked him if he would sell me another 60 feet on credit. He did. I put a small 22 by 50 building on the lot. I had about $10,000 invested in land and building. Frank was the only employee, and he took his lunch to work. I still had a profit sharing program going. I ran Redmond as part of the Prineville store and Frank shared in both, but I soon changed the program.

My theory in the small store was that all other large tire dealers had big service trucks running all over the country. They called on mills, commercial accounts, garages, and service stations. Their retreads looked better than mine, but I had made up my mind to do it differently. I would advertise to the ranchers and other people telling them to buy direct from me, buy wholesale. They, the other tire dealers, had $6,000 plus invested in service trucks; I put in the whole store for $10,000 and we were there six days a week. They only called once a week. The other dealers would give from 25 percent to 40 percent off on retreading. I gave about 15 percent off and sold direct. It worked. People did come directly to my stores, and business was picking up constantly.

First Profit Sharing Contract

A big day in my business career was January 1, 1954. I told Frank Canady I didn't have time to run Redmond, I trusted him and I would make him a deal. You run this store, I'll sell you the tires, I'll charge you $200 per month rent (an excellent return on a $10,000 investment), and you take $400 as salary and thereafter we would split 50/50. I made a profit of 5 percent or so on the tires he bought and about the same on retreading, but he would have to leave his money in the store until his share equalled mine. This was the start of the profit sharing program that we still use today. We still share 50 percent of our profits, but we share with all the employees in the store. The manager now gets 25 percent of what is left after sharing with all other employees. I also told Frank that if the Redmond store did make it, he could have a raise if he wanted it. If he wanted a $100 raise, I would raise my rent $100, it was to be 50/50 hereafter on everything. We followed this program on the first six or seven stores I built. I also told Frank that if this store was successful (Redmond) I planned to build more. If this store failed, I would go back to Prineville and run just one store. As I think back, Frank Canady was even more important than I thought. There wouldn't be the chain of Les Schwab Tire Centers that we have today if we hadn't been successful in Redmond.

Start of Production Center

The Prineville store was now bulging at the seams. I didn't own the building so I couldn't very well build on. I bought a small carpenter shop (32 by 32) from Dan Fridley. It sat on the lot where our office is now located, except we have bought much

more land. The mailroom in the main office is part of this 32 by 32 carpenter shop. I moved all of my retreading equipment to this building. The idea was that in a year or so and before my lease ran out I would build a tire store on the front. I was at an O.K. meeting and they were encouraging moving the equipment out, making a store out of the shop, and centralizing the retreading production whereby one shop would do the retreading for five, six, seven or more stores. By accident somewhat I was years ahead of them. When Mr. Winn found out I might move, he offered to sell me the building. Since that was a better location than the Madras Highway, I bought it, and that is where our present store stands on the East Ochoco Highway. The centralized production idea was on its way.

Entering Bend — 3rd Store

We now had Redmond and Prineville and they were both successful. I wanted to expand into my old home town of Bend, but I had the franchise for the O.K. Rubber Welders, and both Bend and Madras were taken. I even went so far as to take an option on a building in Bend, but I couldn't figure out how to work it and I dropped the option. The Bend O.K. operator wasn't very successful and the district manager for O.K. and I talked a lot. We decided I could put in a second O.K. store in Bend and pay a royalty to the Bend O.K. Rubber Welders. I bought a small building where our present store is today and opened a second O.K. Tire store. I leased the building to Mel Hilliard, the Bend O.K. man, and he in turn held the lease, but Paul Rukaveno was the operator of my store. I did the retreading and sold him the new tires, but Paul and Mel didn't get along. I told Paul to be patient, that I would work it out in time, but Paul didn't have patience; he moved out, dropped me, and I was left with a vacant building.

I went to Mel Hilliard and asked him if he would like to get out of the lease with me. He naturally said yes. I told him I wasn't

going to lie to him, that I was going to open an independent tire store. He said I couldn't do that and my reply was, let's not argue, I just wanted to be open about it. He signed off the lease and I was ready to go.

The problem now was a new name. TIRE CENTER was in my mind, but that seemed too plain. I had in mind already to get other people to join me, so it could be Les Schwab Tire Center or John Smith Tire Center. TIRE SERVICE CENTER was another name I thought of. We ended up with Les Schwab Tire Center and started with Les Schwab in smaller print, but soon changed to where Les Schwab became the predominant name. Ernest Miller from the Prineville store was the first manager. Now I had a fight with the O.K. Rubber Welders. This was later changed to O.K. Tire Stores. They were on my back, but we charged ahead.

Entering Madras — 4th Store

Gordon Priday was one of the employees at the Prineville store. I still managed the Prineville store along with my other duties. We talked about opening a store in Madras and Gordon wanted to manage the Madras store. I've told the story that Gordon didn't say "Good Morning"; he started off the day with "when are we going to open in Madras?" I told him I already had a fight on my hands with the O.K. people. Anyway I decided what the hell, as long as we had a fight, why not have a good one. I bought a small bankrupt fruit stand in Madras for $5,500. It was only a 50 foot lot so I bought the corner lot for $4,500 and we opened. It had a small apartment in the back and Gordon moved his family in and lived in the back. We figured we could break even with $2,000 per month in sales, make a small profit at $2,500 and do okay with $3,000 per month in sales, and that is about all we did. The first year we broke even. I worked with Gordon and we started the second year better. We made about $800 the second year and Gordon got half, as he, too, was under the profit sharing contract. Another new store had opened in

Madras just about the same time and he had a nice new building. Ours was not so nice.

The only money we spent remodeling was done by Gordon himself with hammer, saw and nails, but we won the battle. The other store closed after about two years. Again, if we had not won, it would have ended the expansion for Les Schwab.

Fight with O. K.

Yes, I really did have a fight now with O.K. They were threatening to take all my equipment away from me and cancel me out as an O.K. Rubber Franchise Member. I remember one meeting very well. They flew into Redmond, about five of their people, and we met in a motel room. I was alone. They said they had come for my answer. I asked "what answer?" They said I had to get out of Bend and Madras or else. I lost my temper and told them that hereafter I didn't want any more harassment from them; if they had anything more to say, say it in court.

I walked the floor nights, because if they took my equipment it would have bankrupted me. I was bluffing, but I was determined. I told Dorothy I might have to go back to selling newspapers, but I had my neck bowed and I was going to see it through. As I think back, I think the reason they didn't take it to court was due to the fact that if they lost it would have messed up the franchise nationwide. The fee on the O.K. franchise was only $12 per year. I kept the franchises for Redmond and Prineville for years and years until it wasn't worth the $12 anymore. Every time they tried to cancel me I would send them a registered letter telling them I wouldn't accept the cancellation. I insisted they let me run under the O.K. franchise in Redmond and Prineville. O.K. had about 1,100 franchises mostly in the western United States, and was very popular. I had spent a lot of time and money building the O.K. name in Redmond and Prineville, and I didn't want to give up the name until I had established the new name of "Les Schwab Tire Center."

I had an O.K. Rubber Welders in Redmond and Prineville and a Les Schwab Tire Center in Bend and Madras. This fouled up my advertising, because I couldn't advertise O.K. in two towns and Les Schwab in the other two towns. I had always advertised as "Les Schwab O.K. Rubber Welders," and I was glad I had done this. I did this because I had in mind that some day I would drop out of O.K. I repainted my buildings in Redmond and Prineville and made the main name "Les Schwab Tire Center." On the left side of the buildings in Redmond and Prineville I put the General Tire sign up (painted) and on the right side of the building I put up (painted) the O.K. logo which was the O.K. man. In Madras and Bend I had the same, except on the right side I had "Kraft System Retreading." General Tire was promoting the Kraft System retreading nationwide. General Tire had okayed the O.K. equipment and I thought that just maybe if I did get into a lawsuit with O.K. I could tie their two tails together and let them fight it out. Anyway, I now had common identification and could advertise on the radio (TV wasn't here yet) and in the newspapers and give them hell.

The pressure on me was tremendous. My largest account was way behind on payments and it worried me no end. My net worth was about the same amount as what they owed me. If they had gone broke at that time they would have taken me with them, and the Les Schwab story would have ended right there.

Thinking of Future — Dreaming — Planning

We had an excellent babysitter for little Margie. We called her Grandma Peterson and Margie really thought she was her Grandmother until she was seven or eight years old. Also her real Grandmother, Daisy Harlan, kept her when we took trips. To get away from the pressure sometimes I would call Dorothy and say, "Let's get the hell out of town for at least overnight, maybe two nights," and we would do just that. But guess what? I would

usually visit other tire dealers, the large ones usually.

We were riding down the Columbia River Highway one evening going to Pendleton. I told Dorothy I was jelling an idea for the future; that I was going to build me a small warehouse, move Mildred, my bookkeeper, out with me, that I was going to buy the tires, do the advertising, price the tires, do the books and maybe build six, seven or eight stores some day. I knew I could buy tires better if I had the time. I knew how to advertise and promote, and I wanted to share with the store managers and make them successful. I was already visualizing ahead, but we certainly went past the six, seven, or eight numbers. I also remember riding back from the Ochoco camp site. At that time it was just back of the Keystone ranch. The General Tire salesman was with me, and for some reason I got mad and told him, "just you wait until I get $10,000 that I can call my own money and I'll show you I can buy tires better than you bastards are selling them to me."

John Day — 5th Store — Dick Hammack

The Prineville store was making most of the money at that time, but the other three stores were coming along too. I was making a trip each Tuesday to John Day and I ran this route too. The Blue Mt. Mills had bought an automobile agency building and had put their truck shop in the back, the front was a service station selling gas and a man was in the tire business in the showroom. He wasn't making it. I rented the building from the Hudspeths and started my fifth store. We sold gas also. I transferred Bob Herringshaw from the Prineville store to manage John Day. But I soon bought the Oakridge store and Bob wanted to move to Oakridge. I replaced him with Don Zigler from the Prineville store, but we had management problems in the retread shop and I asked Don to move back to Prineville to manage the Production Center. Jack Defoe from Prineville was supposed to take the John Day store but after staying only a

week or 10 days in John Day he decided against moving. I was in trouble as I didn't have a man to put in the store. Dick Hammack, who was only about 20 at the time, maybe 19, had worked for me since he was 16 in the Redmond store. I sent him over but he was over his head. Denny Cook had worked for us in Madras and I sent him over as assistant manager. After a few months I reversed them, making Denny manager and Dick Hammack assistant manager. Dick quit and started a tire business in Dayville. We did have the non-compete deal in our contract, but the only penalty was the forfeiture of money coming, and Dick didn't have anything coming as he had lost about $3,000 during his management time. Dick soon went broke in Dayville and went to work for Shoop and Schultz, the largest tire dealer at that time in Central Oregon with stores in Bend, Redmond, Prineville, John Day, Klamath Falls, and Redding, California. Today Shoop and Schultz are out of the tire business. Dick came back to us and still works for us today. He became manager of Spokane, but that didn't work out. He was assistant manager in Corvallis for a long time and said he never wanted to be manager again; but when we bought a tire store in Woodburn, he applied, got the store, and has done a great job.

Earlier I said the manager couldn't get his money until his share equalled the investment in the store. One day I walked into the office and Dick Hammack was there. I asked him, "How come you are here today?" He said, "It is a big day; I brought a check over which pays off my store." I told him I was going to Bend and why not ride over with me. We discussed old times, and I felt good that our programs had helped this man so much in his life. Dick is now in his high forties, and, outside of the short time he left from John Day, he has never worked for any other company, starting with us at 16 years of age.

Even though Dick Hammack had a couple of setbacks, he always bounced back. I am sure, today, he is happy and proud that he saw it through. He is a very successful store manager today and will wind up with a very nice retirement nestegg.

Many, if not most, men that fell off the tree in earlier days would just quit and go another way. Today they often stay with the company, go back to working by the hour, and start to work up the ladder again. And almost always they do make it back to

store manager again, and the second time around they are always a much stronger manager than they were the first time. I am happy to see these men stay with the company. I hate to see the company lose these experienced men, and in most all cases it is best for the man to stay with the company. It is seldom that I ever see any man do better on the outside. But pride makes them want to leave, and I can understand that.

We started out with 50 percent of the profits going to the manager. Over the years we have changed this some, but we still share 49.51 percent of our profits with our employees in the stores. Each store operates as a separate entity and each store operates as a separate business. The store employees share only in the profits of the store they work in.

The 100 Story

Today our program is what I call the 100 story. What happens to each $100 of profit that each store makes? The 100 program follows. The last change we made was when we started two assistant managers in the larger stores, and that too, is covered in the following breakdown of the 100 program.

THE LES SCHWAB PROGRAM FOR EMPLOYEES IN THE LES SCHWAB TIRE CENTERS

This is what happens to each $100 earned in each of our stores.

ONE ASSISTANT MANAGER STORE:

$100.00	
15.00	or 15% goes into your Trust up to 15% of your salary.
$ 85.00	If 15% of our profit does not cover 15% of the payroll, you will not receive the full 15% of your salary, but will receive the correct portion.

$ 85.00
10.20
$ 74.80

or 12% of the remaining $85 goes into your cash bonus program. This is distributed to you in October of each year under our share program. Ask for the explanation.

$ 74.80
7.48
$67.32

or 10% of the remaining $74.80 goes to the assistant manager and into his partnership Profit Sharing Contract. He does not get this money until his share equals 10% of the store. Thereafter he can draw the surplus. Most times the assistant manager takes this money with him when he becomes manager. It saves a lot of interest expense, and it makes it easier for him to start and manage a new store.

$ 67.32
16.83
$ 50.49

or 25% of the balance (22.5% of $74.80) goes to the manager under his manager contract, which is the same contract as the assistant manager. He can't take this money until his store is paid out and thereafter can draw the surplus. When the manager is allowed a draw, the company takes a draw. This is the only time the company takes any money out of the store. As you can see, the employees get 49.51% of the profit of the store, the company keeps 50.49%. The 50.49% is used for expansion, to make more opportunity for great young people.

TWO ASSISTANT MANAGER STORE:

$100.00
15.00
$ 85.00

or 15% goes into Trust, same as above.

$ 85.00
8.50
$ 76.50

or 10% goes into the cash bonus program. This is 10% instead of 12% like above, because there is one less

man, as one of you are now under the assistant manager program. It comes out almost exactly the same under both programs, so don't feel shorted.

$ 76.50
5.74 or 7½% goes to one of the assistant managers, same as
$ 70.76 above. The money is left in the store until his share is paid out, or until he moves up. When he moves up, his money is taken with him to the next store.

$70.76
4.21 or 5.5% of $76.50 goes to the other assistant manager.
$ 66.55 Same as above.

16.06 or 21% of $76.50 goes to the manager, same as above.
$ 50.49

So both programs come out the same, whereby the employees receive 49.51% of the profits.

Oakridge — 6th Store

An older man had started a brand new O.K. Tire store in Oakridge, but he couldn't handle it and closed it. He wanted me to take it over. I had built a reputation of being able to fight the O.K. people, and, in following years as the O.K. company was falling apart, the O.K. operators seemed to want me to have their stores. I turned it down as I didn't think Oakridge was large enough for a tire store. Absolutely no trading area (just fir trees) outside the city limits. I took another look at it a few months later and turned it down again. This gentleman called me again one day and said he was going to lease the building to a couple of mechanics for $100 a month, but he still wanted me to take it. I told him that for $100 I would try it. That included the equipment and building for $100. He had new equipment, and also had an

alignment shop. The equipment alone was worth the $100 rent. I had bad luck in Oakridge. The first manager lost money. The second manager really came up short. We lost money fast. I sent Lloyd Meeker over and his wife Marion kept the books. They were great people, completely loyal and honest. They started to make a small amount of money.

First Member Dealer

My very first Member Dealer was Art Robinson in the small town of Fossil. He had the Signal Oil agency and we often met at the Bridge Creek Mill near Mitchell. I had this account for all of their tires, Art had the oil account. He had a Signal Station in Fossil. I suggested to him that he take his wash bay, paint it, put in racks, and make it a small tire store. He was short of money so I loaned him $2,500 and I don't know why because I wasn't all that rich.

It worked great. Art made some money and in a couple of years he built a new tire store, a real nice one, for such a small town. He had Lee Oglesbee as manager and later sold the business to Lee and marked up the tires he sold him. He couldn't do that today with the rules we have with Member Dealers.

Art wanted to sell out in Fossil as he had a chance to buy a beer wholesale company. We bought the tire store building and offered to let Lee Oglesbee continue on and we would help finance him. We gave him a choice, be our store manager or own it. He elected to work for us. He had something else in mind, he wanted to leave Fossil some day. He did a great job. We built a new store in LaGrande and Lee managed it. We later built another new store in Albany, and Lee now manages that store.

Lee and his lovely wife, Esther, are the type of people that have made America great. I would sooner have a handshake deal with Lee Oglesbee than I would a contract a mile long with many people.

But why Fossil? What was I thinking about? I guess I wanted

to prove that you could make a tire store work in a small town, something that none of the rubber companies could do. I guess I just wanted to expand from the first day I got into business.

Hood River — Our 7th Store

The O.K. operator in Hood River had dropped out of O.K., but he was lost. He had painted out the O.K. signs, but didn't know what to do with it. Dorothy and I and Don Zigler and his wife were in Portland for some kind of meeting and I wanted to go home by Hood River to look at this. I didn't know if I could make it in Hood River, so I offered to buy it with nothing down (I did pay cash for the small inventory) and $125 a month, which took 10 to 12 years to pay out. I had an escape clause in the contract that I could turn it back to him and not have to pay it off. He wanted to lease it to me, but I already had seen the wisdom of owning property and I wanted a contract so that I would own it someday, if I made it. This was wise, as this same building (we bought the adjoining building, and a service station lot on the corner) is now leased to United Telephone Company at a net lease at $2,700 per month. They spent $250,000 making a wonderful office building out of this. Our rents go up with the cost of living, and in 30 years we also get the office building.

We now had seven stores, and we were going through The Dalles to get to Hood River, so naturally I started looking for a building in The Dalles. The General Tire salesman called me one day and said a man was developing property near the bridge and wanted to build me a tire store. I said I'd meet him for lunch. I left Prineville at 10:30 and was in The Dalles at 12:00 noon. I drove like crazy in those days. I had a Chev El Camino and 90 miles per hour was my normal speed. I told the General Tire salesman I was looking at a war surplus building that was empty. We drove by and there was now a "For Lease" sign in the window. This was a three story building with three apartments above, a basement, and the ground floor store. I leased the two

lower floors, and we were soon in business. My rent was low, about $200 per month.

The Dalles — Our 8th Store

I had seven stores, I wanted to open this eighth store in The Dalles, but I was running fast and working long hours. I was still at the Prineville store and people still wanted to talk to me, especially my old time customers. Our office was where the present truck tire room is today. I would be in the middle of important business and would be interrupted by someone wanting to buy tires and, of course, only from me. I loved to sell tires and would often try to get my bookwork done at night or on Sundays, but even then when people would see the light on they would knock on the door and want something.

General Tire Dealer Development Program

I was at a General Tire meeting in San Francisco. With seven stores I was being recognized by General. I had made a deal with them for what they called a 5 percent dealer development program. I asked for a special meeting with the key people and got one. I told them I wanted to start my eighth store, but before I did I wanted their assurance the 5 percent dealer development would continue on. I needed this extra 5 percent to make this work. I also told them I planned to move out into a separate office and get out of the Prineville store so I wouldn't be interrupted so much. They assured me that it would be and I went ahead. I built a 30 by 80 foot building in front of my retreading plant. The office took less than one-third of the building. The balance was for a small warehouse to be used for special buys.

I didn't get into actually warehousing our tires until about 1965 or 1966. I sorta brokered tires. General Tire would ship to a store, but bill them to Prineville, and we in turn rebilled them to the proper store.

After I was in the new office six months or so General cancelled the 5 percent dealer development program. I called the vice president at night and got him out of bed. He later told Dorothy I called him at 2:30 in the morning. It was not quite that late, but I was mad. I threatened to sue them and called them most every name in the book. I got the 5 percent back, but they made me mad. It is hard to comprehend today why big companies treat their dealers and employees the way they do. This same man, Stan Hanse, asked my wife at a large General Tire dinner party . . . how do you live with that SOB husband of yours? But he said it in fun; I had earned his respect.

Walnut-Sawdust Combination Rubber

Winter tires had become popular just a few years back before I started in the business. The addition of sawdust or walnut shells in the rubber helped a great deal on traction. We charged $1 extra for walnut and when a customer would ask why, we jokingly would tell them it was one heck of a job sticking all those small pieces of walnut shell down into the rubber.

The sawdust rubber or walnut rubber has always been a 100 percent exclusive of the retreaders. Except for one small effort by one of the small rubber companies, no new tires have ever been made with either walnut or sawdust.

The General Tire Company used walnut shells to make their winter retread rubber. Mohawk Rubber Company at that time made their winter rubber with sawdust. If I changed from one company to the other, which I did do from year to year, I would wind up with a mixed group of tires. Walnuts wore longer and if we mixed them up on the customer he would come back in the spring with one tire wearing out faster than the other.

Sometimes the customer would think he should have an adjustment on the tire that wore out faster. I would tell them, no, really I should charge them extra for the one that wore so long. But we always kept the customer happy in the best way possible.

I was in Stockton, California at the Mohawk Rubber Company plant. I was watching them make retread rubber and I noticed they used a large measuring shovel to add the walnut shell, or sawdust, as you could then order it either way from Mohawk. They added two shovel fulls to each batch of rubber while mixing. Since we had such a hard time deciding which was best, walnut or sawdust, I asked them . . . "Could you put in one shovel of walnut and one of sawdust?" They said yes. I told them to make all of mine that way unless I told them differently. I went home and started a big advertising campaign. . . "The new rubber especially designed for Les Schwab Country . . . walnut for ice, sawdust for snow; the new combination rubber especially designed for Les Schwab." Many people brought in their old tires and asked us to redo their tires, the new rubber sounded so good . . . they wanted that. And it was good. We used it for years and years. It was another first for the Les Schwab Company.

Synthetic Rubber

Synthetic rubber became popular during World War II. Natural rubber was hard to get. Synthetic rubber proved to be better than natural rubber, as it would wear longer and the price was more even without all the ups and downs that the natural rubber market always had. So ever since World War II the treads of tires have been made from oil or synthetic rubber. But synthetic rubber was much more slick than natural rubber in the winter time. This helped to bring on the need for winter tires as the colder it got, the more slick synthetic would get. Walnut and sawdust helped to break up this hard tread, to keep the tread of the rubber rough as the pieces would drop out as the tire would wear down.

Today, both on cars and trucks, the treads of tires are nearly 100 percent made from oil. Most people don't know this. There is some natural rubber used as a blend with synthetic in the sidewall of tires, also in the liner of tubeless tires. A heavy use of natural rubber is used in the bonding of the nylon or polyester plies of the tire.

Today, 1985, research and chemistry have developed a synthetic rubber that is soft. We played a small part in the development of this rubber, and we have a nationwide trademark on the soft rubber we use called "Snowflex." One problem with the soft rubber with traction tires is that it has a tendency to make the tire walk. This is especially true on station wagon type cars. But the new soft rubber, with steel studs, is a mighty good winter tire. We still put out walnut shell retreads, but not as many. We can use walnut with soft rubber too. Some people put on soft rubber, with walnut, with studs and it is great . . . not much wear, the tires might walk some, but a lot of traction. We tell the customer the truth. To get the utmost traction in any tire, you will have some ride problems. How important is good traction?

Steel Tire Studs

The steel studs in tires came into use in the sixties. This too is 100 percent a tire dealer program as you can't buy new tires with studs already in them. The factory makes the tires, pinned for studs, and the tire dealer puts in the studs with a special machine. We use the term "pinned for studs" because to make a stud hole in the tire you need pins in the matrix that makes the tire.

Some states have outlawed steel studded tires and most states won't let you use them until November 1st, and they must be taken off about April 1st or 15th. Most states vary a week or two, but nearly all are about the same. There's no doubt that steel studded tires will damage concrete roads, but they don't hurt

First day of snow at the Les Schwab Tire Center in Bend, Oregon.

blacktop. I've seen burners working on highway passes that burn off excess oil to help traction for cars, so how could studs hurt when all they do is rough up the road, exactly what the burners are doing . . . burning off the top oil that has formed during the summer so the road isn't so slick.

I think that steel studded tires are the greatest for traction. How much is a life worth? The greatest traction tire by far is the steel studded traction tire. If you mount two studded tires only on your drive wheels, don't expect too much braking safety though . . . you get a lot of traction, but not all that much help in stopping. If you want help on stopping, mount four tires, all studded, and then you really have the best. Many people do put

on four studded tires, but by far the majority only use studded tires on the rear wheels because of the cost. Front wheel drive cars differ in that they do have more traction, and studded tires on the front power wheels work well, but even on front wheel drive cars, all four are better of course.

We can also drill holes in tires and put in studs where the law allows. We often do this for the sawmills and yards that use carriers, or large lift trucks. On some of the real large tires used nowadays in the large mills, we often stud the tires that sell new for as much as $10,000. We drill over 500 holes in the tread, and insert the studs with a stud gun. When there is ice and snow around the mill yards studded tires are a really great asset.

Siping and Retreading

Siping of tires is also another safety factor for winter driving and for driving in wet weather. Siping of truck tires has definitely proven to be of value, as even without the benefit of traction on snow, ice and wet roads, the tires will run cooler and give more mileage. And again, siping is pretty much the business of the tire dealer and the retreader. I don't know of any new tires that come from the factory siped. We can buy precured rubber that is siped at the factory. We apply this rubber to truck tires and it is working out well. We also have siping machines in nearly all of our stores so we can sipe new tires we sell, or for that matter any tire that the customer wishes to sipe. I have been in and out of the siping business for the whole 34 year history of our company. Today we have much better machines than we did have to sipe tires. We especially have one in the large retread shop, made in Sweden, that does a real factory type job of siping both retreads and new tires we sell.

I started my business mostly on retreading and I have personally had a special interest in retreading ever since. A high percentage of all winter tires are retreads and I think the big reason is that they are seasonal tires, and it creates extra inventory problems. The new tire factories do make winter tires, but are limited somewhat due to the inventory problem. That's the reason that all walnut and sawdust tires are retreaded tires, and a high percentage of the soft rubber and steel studded tires are retreads. It is a big part of the passenger retread business.

I'll admit that retreaded tires aren't quite as good as new tires. But even today I personally would prefer a good, first line retread tire over many of the cheap new tires. Retreads, in total, are better than they are given credit for being. Heat is the largest factor in causing tire problems, and that is why retreads work so great for winter tires.

Have you ever, in going down the highway, seen a tire tread,

or parts of a tire tread, lying along the side of the road? How many times have you said, or at least thought it, there lies a retread? I've had people say this when riding with me and I would stop, back up and check the tread. At least 50 percent of the time the tread is off a new tire. In fact, a national study proved that well over 50 percent of the treads lying along the side of highways are new tire failures, not retreads. Since today 50 percent or more of all truck tires on the highway are retreaded tires, that speaks well for the retread industry. Between town and my ranch it is 40 miles and well travelled by log trucks, a good road, but crooked. My son-in-law and I one day checked a tread lying alongside the road and decided to check every one between town and the ranch. In checking ten treads, we found that seven of them were new tire treads. Every airline in America uses retreaded tires. Often the tires on airlines are retreaded four or five times.

Driving Many Miles

It was not unusual for me to drive 600 miles or more in one day and make many stops. Many times I would leave home, go to Hermiston, Pendleton, Milton Freewater, Walla Walla and look around the Tri Cities for a new location all in one day. Other days I would go to Burns, Nampa, Ontario, Weiser, Baker and back that night. I drove fast, but I've never had any kind of wreck.

Speaking of driving fast. One time I was returning from Roseburg and the closer to home I got the faster I drove. I came through Powell Butte and about where the A&W Root Beer stand is in Prineville I was stopped by the State Police. He was the game warden with a pickup, he said a souped up pickup. He said, "I've been chasing you since the Powell Butte store, I've had it set at 100 mph, but you have been walking off and leaving me." He said, "Mr. Schwab, you can well afford the $25 fine, but let me tell you, someday you aren't going to get to where you are going. Won't you please take it easy?" I told him I would,

and I did slow up some after I was 60 years old. He made more of an impression on me than if he had given me a ticket.

Norm Nelson

Norm Nelson, an experienced tire man with a lot of experience, had joined our company. He had worked for us earlier but only stayed a few weeks and left. I guess he thought maybe we were doing some things right after all, and he went to work for Dick Turner, manager of the Bend store. We had already started the assistant manager program. Dick wanted to make an impression on Norm when he told him that he would be assistant manager. I told Dick to bring Norm over and meet me in the office at 8:00 p.m. Dick went through his ceremony and Norm thanked us for the opportunity. I then told Norm, "now that you have gotten one promotion today, how would you like a second promotion?" I told him I had leased this very day a building in The Dalles and how would he like to be manager? Of course he jumped at the chance. This didn't make Dick Turner too happy, but life is hard. I told Norm to meet me in the office at 8:00 a.m. the following Tuesday. He was in my office at that time. I was having fits with my largest account at that time and many other problems. We planned to go together to The Dalles and Portland and line up equipment and remodel The Dalles building. I told Norm he knew the tire business as well as I, to go ahead on his own to The Dalles, buy his equipment, remodel the store and do it all just like it was his own money. Norm had a knack to remodel a store at a very low cost. He tore up all the tables that did handle the war surplus displays, used the lumber to build a counter, put in an office and did a great job of building a tire showroom at practically no cost. Today, we probably would have spent $100,000 to open; we did this for less than $1,500.

We were an instant success in The Dalles. We sure gave the apartments upstairs fits with all the air wrenches working below. As each apartment was vacated, I would rent them and make tire

storage out of them. The people who had the Signal Service Station next door and had the west end apartment stayed there for several years. Later we took over the Signal Station and later we bought the station grounds.

We had a crazy lease in The Dalles. The building was built on leased ground and after 20 years the building went back to the Hull family. Mr. Hull had died and his son lived in Portland. They owned the Terminal Sales building and also a big office building in Seattle. I made an appointment with him. His father had in his will that the property could never be sold. His son was able to break his father's will. Today he would have been better off if he had never broken the will. I didn't have time to pursue this and forgot it. Later, when Don Miller had joined us, I asked him to work on this and see if he couldn't buy the property under the store so we would eventually own both the store and the property, because if I owned the ground, then, when the Anderson lease (Anderson was the war surplus dealer) ran out, I would own the building. Don got the job done, but he wouldn't sell us just the ground under the store; he wanted to sell us the whole 11 acres. The price was $50,000, a real steal. The ground under the store was worth that much and considering that we got the building later, it was worth more than that. Today this $50,000 investment is worth at least $500,000 or ten times as much. I owe Don Miller many thanks for getting this job done.

It was shortly after we opened The Dalles store that things weren't looking too good. I don't know just how many times we have hit times like this in our 34 year history. I now had eight stores, three of them breaking even at best, and losing some money. The other five stores were doing fine. The stores not doing well were Oakridge, Hood River, and John Day. I closed the Oakridge store and sent the manager to Hood River. Dorothy and I went to Oakridge and had dinner with Lloyd and Marion Meeker; I told them I wanted to close Oakridge and would like to send them to Hood River if they wanted to go. I also told them that if I didn't start to make a profit in Hood River I planned to close it. We discharged the Hood River manager for dishonesty, I made the switch in John Day and made Denny Cook manager. I now had seven stores and Hood River and John Day started to show a profit. So we were going again, life is not all hard.

I've sometimes told a story like this; you get into a box canyon, you can't find your way out, but if you search hard enough you might find a ray of light. By probing this lighted area, meaning thinking about it 24 hours a day, and walking the floor nights, you might find your way out. Then you are on a new plateau, you are out of the box canyon and you now have room to expand again.

Radio Advertising — Free Beef

I had a good knack for radio ads in my earlier days. I wrote all of my radio ads myself. Before I opened in The Dalles I was running an ad that for some reason caused people to talk. It ran, in the closing, Redmond, Prineville, John Day, Oakridge, Bend, Hood River and SOON in The Dalles. I don't know what there was about this ad, but the "Soon in The Dalles" had people in Prineville repeating it to me constantly.

I had worked up several catchy ads that drew attention. Lucky Strike cigarettes were tremendously heavy advertisers. Jack Benny was their star on both radio and TV. LS/MFT was their slogan. It was on their cigarette pack and they hammered it constantly, LS/MFT, Lucky Strike means fine tobacco. I was watching Jack Benny one evening and I told Dorothy, "Look, L. S. MFT. That means Les Schwab means fine tires." I started to use it immediately, and it was very effective. I also used it many ways, such as, "Les Schwab means frost tires." There's frost in the air, time to think about snow tires. Les Schwab means Firestone tires. We were selling some Firestone tires at that time. Les Schwab means fast treading, just 20 minutes of your time needed to retread your tires. We had loaner tires all mounted up. We would put on the loaner tires and wheels and retread your tires. Then we would mount the retreaded tires on their wheels and when they came back it just took minutes to put their tires on. The customer was not held up much at all, and it did bring us a lot of retreading business. Retreading was much

more popular at that time over today.

Another ad I remember well was a car coming to a fast stop, a voice would say, "Where are you going so fast?" "I'm going to Les Schwab's; I can buy tires at wholesale." "Oh, you must have a friend there." "No, haven't you heard? Everyone buys tires at wholesale at Les Schwab's. You don't need a friend that knows a friend to buy tires at wholesale at Les Schwab's."

It was in November of 1962. Doris Breese, President of the Crook County Cowbelles, called on me. The Cowbelles, which is the auxiliary of the Cattlemen's Association, were starting to promote the Beef Gift Certificates. She suggested that I use them as gifts for my employees. I told her I was way ahead of her, that I had already started a file, and was considering using the Beef Certificate as a promotion in selling tires.

The idea started in Klamath Falls. Louisa Horton was active in the Cowbelles and had talked to Dick Turner, manager of our Klamath Falls store. From this, we worked it into our Free Beef promotion.

1986 is our 23rd year for our "Free Beef" promotion. It has been one of our most successful promotions in that it helps to promote the sale of beef, and also the sale of tires. From almost the first day of my business I had made up my mind that I wanted the business of the rancher. I can safely say that the ranchers have been the backbone of my business for 34 years. I have specialized in ranch tires from car tires, pickup tires, truck, tractor and odd ball sizes to fit various ranch equipment. I remember when I saw the first Heston swather, and the harrow-bed. They had odd sized tires so I put in inventory one of each size knowing that someone would have an emergency some day. It was about a year later when a sweaty rancher came in quite excited saying, "I don't suppose you have one of those damn odd ball size Heston swather tires." I did, he was most happy as the equipment might have been down a week or 10 days for the lack of one tire, and during haying season that is mighty costly. I didn't make a profit on the tire, but I made a customer.

I started using the "Free Beef" promotion from January 15th to March 1st the first few years. Now we use it for the month of February only. We give $7.50 for the sale of two tires, $15.00 on a sale of four tires. Also we give the beef certificate on the sale of

retreads but in a lesser amount. We do not raise prices in any way, it is strictly an added bonus for our customers, and a boost for the sale of beef. We are up to giving nearly $250,000 out in free beef, and we spend about $250,000 advertising beef, and tires. We have many customers who wait for the beef promotion to buy their tires.

One of our slogans for the promotion is, "It's the Les Schwab Way to 'Beef up' tire sales during the slow winter months. It's Free Beef Time Now, at Les Schwab's." Many others.

I had a crippled bull at my small home ranch. We named him Bolliver. His front legs were broken at birth. My daughter made a pet of him. I made him my herd bull. Cattle get up from lying down with their back feet first. Since his front feet were damaged he got up in the front first and would often sit that way, like a dog, looking around before he got up the rest of the way. He would often sit near the highway, cars going by would slam on their brakes . . . who ever saw a bull who sat like a dog. We used a picture of Bolliver for years as our mascot for our free beef promotion. My wife wouldn't let me sell him so he died on the ranch.

I have received over 20 awards from local, county, state, and national cattlemen's associations for our free beef promotions. We've enjoyed doing it, it helps promote the sale of beef, and it has been good to our company too.

Cleaning Up Stores — Free Flats for Ladies

We had started to clean up our tire stores and more and more women were buying tires. I thought, how can we get the attention of the woman buyer? In the middle of the night I got the idea of fixing flats free for lady drivers. So we started advertising, "Lady, don't attempt to change your tire if you have a flat, it could be dangerous for a lady. Les Schwab will change your flat and fix it free for the lady drivers in our area. Call Les Schwab, a friendly sudden service man will come to your

rescue." This was a tremendous attention getter and we made many friends with the ladies. It always surprised them when we did hold up our end of the bargain. My men were told to never high pressure the lady, to tell her she needed new tires if she needed them, but to talk to her husband. At least half of the tires that go flat are shot, and should be replaced. The lady would be a heel if she didn't buy from us after we helped her out, and we built a lot of business around the free flat program.

We had many funny experiences with the free flat program. It was supposed to be "When there was no man around." We advertised it that way, but often we would get a call to fix a flat and the man would be looking out the window, usually behind the curtain. But so what? By taking advantage of us, it made them tell all their neighbors about how they got their flat tire fixed free. Some women who couldn't afford a new tire, or a used tire, or any kind of tire wanted us to fix their tire regardless. We told them it is impossible. We sometimes even put in truck boots to keep them going. They really bounced down the road. We had one lady in Prineville who drove us nuts. Her tires were shot but she wouldn't buy. We spent hours trying to keep her going. One day she came in with four cheap tires she had bought mail order and wanted us to mount them. We did. Some gratitude for all the free work we did for her.

In Hillsboro we fixed a flat for a lady. The next day we fixed her husband's flat but charged him. He turned us in to the state board for discrimination. We gave him back his money, and Jerry Harper said a pair of panty hose, but we were told we couldn't fix flats for ladies, unless we fixed all flats for all people free. We got our state representative on this, and they tried to pass a law that would make it legal for us to fix flats for ladies. The House or Senate debated if for days and we lost. So we quit fixing flats for ladies free, but the stores right today seldom charge a woman for fixing a flat tire.

I always knew if we fixed all the flat tires in town we would have all the tire business in town. We used to advertise at times, "Flats Fixed 49¢." This gave the impression too that we were low on price. We drove our competition nuts. Life is hard.

Start of Supermarket Tire Stores

We now had seven tire stores. I got the idea of "Supermarket" tire stores. We had meetings of the store managers about every six weeks. I told them about this idea and the Bend store soon had a sign in the store window, "Bend's Only Tire Supermart." I had them change it to Supermarket, but this led into a major change in programming a couple of years later.

I wasn't in business long before I thought of the idea of some day having what looked like a supermarket tire store. Most tire businesses had a small showroom, and all the tires were hidden in the warehouse. My thinking was to reverse, to make the showroom the warehouse. It would impress people, but I had to wait until I could get the right buildings to work out of. I did the best with what I had, and even then I had a lot more tires displayed than any other tire dealer in the area. People were impressed.

Start of Cattle Ranching

I always had a longing to own a cattle ranch. My good friend Shorty Severance didn't help much, as he was a retired rancher and a good friend. I enjoyed his company. I had built a net worth of about $800,000 which today would be equal to about $2,500,000. I wanted to get out of the tire business and own a ranch until I was about 55. My plans were to sell it at about that age and play golf the rest of my life, but I never could figure out how to sell the business. I didn't want to let my people down either. The circle I would go went like this. Let's sell the stores to the managers; they had money coming under the profit sharing contract. But then they would need the retreading plant. Oh

well, that wouldn't be too hard to run. Well, as long as we had the retreading plant, I might as well keep the warehouse. The warehouse would make me $100,000 per year, and that was mighty good money . . . . I could still sell the stores at as good a price as they could buy on their own. So it always ended this way. If I kept the retreading and the warehouse, hell, I might as well keep the whole thing.

But I went into ranching. I had seven stores, and every Friday night we ran up to the ranch; Dorothy, Margie and I, and usually Margie brought a friend. But ranching was a mess; the tire business kept growing. I've often said I think I am one of the very best tire dealers in America, but without a doubt I probably am about the worst rancher in America. Attempting to be a cattle rancher has cost me millions of dollars. I would undoubtedly be 3, 4 or 5 million dollars richer if I never attempted to be a rancher; but I really don't regret it, as you only go through life once and I would have hated to go through life without my cattle ranch experience. And today, with the addition of half of Summit Prairie, we do have a good cattle ranch.

Start of Klamath Falls and Hermiston Stores

I sold the first ranch in late 1965, getting my money in January of 1966. I went back full time in the tire business and things began to happen. Knowing I was selling the ranch I had already opened a store in Klamath Falls. Most everyone said that Klamath Falls was a hard town for a tire business. Some said Les Schwab has gone too far, he'll get hurt this time. I was selling General and Armstrong tires, but both were taken for Klamath Falls so I sold Goodrich and Mohawk tires. Within a few months both General and Armstrong told me to go ahead and sell their tires. I then kept all four lines for all locations.

People said Hermiston would be a good place to start a tire business. One Saturday I ran up there with Don Brandvold, our accountant at that time. I noticed a TV repair shop vacant and I

soon made a deal on it. Following is a bulletin I wrote shortly after opening in Hermiston. We were going fast.

May 28, 1964

Gentlemen:

I made a trip to The Dalles, Hood River and Hermiston yesterday.

I think our store in Hermiston is as close to a "Certain store" that I've thought about for years . . . the ideal store for the small town. The Super Market Tire Store.

And when you try to figure out why, it's just because it is clean, well arranged, and the tires are beautifully displayed.

This I know . . . you could put a store like Hermiston in any town in the U.S. and this store would go . . . it just can't help it.

Every time I'm in The Dalles store, I wonder how they keep it looking so clean. Actually The Dalles has the worst parking, the poorest service area (the service and store are all in one room) and from a physical viewpoint, they probably have the least to work with than any store. But it always looks clean, the tires are waxed and displayed beautifully, and you immediately get the feeling that you would like to buy tires in this place of business.

I found out exactly what they use to clean their tires. It is Spray Paint, clear lacquer, and they letter the name of the tires with just the white paintstiks that you use, before they spray the tires. Then the tires are cleaned daily with just a dust cloth, and they clean so nicely because of the clear lacquer. Get it at any auto parts house.

This is an order . . . .

Get tire stands, the new Armstrong stands looked real nice in Hermiston, order some, and order some large enough to hold up 1000/22 truck tires.

Display with lacquer, etc, one each of the Miracle, Premium Miracle, Coronet, Super Jet Retread, Jet Tread, Cross Country, DCL retread, Extra Traction Retread, Super All Grip Retread, and 1000/20 or 22 in Armstrong TR, S.D., S. L., and in the Commercial, the Extra Traction. In the General, the Jet Air, Dual 90, DCL and anything else you stock and sell.

This I vow . . . WE ARE GOING TO HAVE A SUPER MARKET TIRE STORE IN EVERY TOWN THAT WE HAVE A LES SCHWAB TIRE CENTER. I hate to use threats, it's against my policy entirely, but you can visualize what is going to happen in your town if you don't RUN A SUPER MARKET TIRE STORE, because I'm going to have it regardless of cost, hurt feelings. A Super Market tire store has tires displayed, a clean showroom, tires waxed, appealing appearance. . . . hell, you know by now what a Super Market tire store should look like. If you don't take a trip to Hermiston, it could be the most important day of your life. I say Hermiston, instead of Klamath Falls, or The Dalles, or others, because Hermiston didn't have much of a building to start with, all of you have better basic buildings.

I sincerely hope I have made myself very clear. I Love You, But I Love a Super Market Tire Store Even More.

Les

Start of Assistant Manager Program

When I first started growing we often opened a store with just the manager. Then he would hire a helper, then maybe a full time man, so the manager was the only person I was concerned with. But as we grew into four, five and six man stores I began to think that other people should share more too. I asked the store managers to appoint their best man assistant manager and give him 10 percent. I would give up 5 percent, they would give up 5

percent making it 45/45 and 10. But they didn't get with it and with seven stores we only had two assistant managers.

I wrote this bulletin about this time. It was dated August 20, 1964. Parts of it are:

"TO ALL STORES . . .If a bright, young, ambitious man joins our company and wants to make our company his career, does he do it because he likes Norm Nelson and wants to help Norm, or Gordy, or Bob, or Denny? Do you men think that some little fairy sent you this man just to help you build your bonus? Do you think that this man is going to work ten hours per day, miss meals, have ungodly hours at home, just to help you build your stores? Do you think this man is going to work for low pay, year after year, just so that you can build your profit share contract into a nice fat nest egg??? No, I don't think so. He wants to see results, just like you did when you started up the ladder. This man didn't join the company because of the future of the store manager, or for that matter for the future of Les Schwab personally. This man joined the company because of his future with the Les Schwab Tire Centers, NOT IN YOU PERSONALLY.

If you men block this man, you are being selfish."

And this program, in spite of this bulletin and my urging, never did work until . . . we made a change. Since our managers didn't volunteer, I made a rule. That starting August 1st, our year end, the manager's contract was going to be changed to 45 percent. If he didn't have an assistant manager the company got 55 percent. Do you know something? We never had a problem after that in having an assistant manager for each store. Today our managers do better, but the proof here is that even good men need discipline, and they need guidance, and they need an iron hand over them. One time I told my managers at a meeting, and I had lost my temper somewhat, "Sometimes I think I've got to force you men to become successful."

Supervisors or What?

It was about this time that we had shared $150,000 with our managers for the past year. We had eight stores at the time and that was about $19,000 per store. They were not completely doing the job. You could hire a supervisor for about $10,000 per year. I told them I could hire 15, $10,000 per year supervisors for the $150,000. That would be nearly two supervisors for each store. Now, dammit, what do you want . . . do you want two supervisors looking after you, or do you want to do the job yourself and do it right? They got the point. But it's the truth. If our people don't overachieve, and if our people don't work their butts off, then we might just as well go the corporate way, drop most all bonus programs, hire a bunch of supervisors, and be just another corporate company. That would be bunk, and, if all we are working for is money, then I think I will take my money and run. We have great people and they do a great job, but we must constantly remind ourselves as to just why we are successful and what we must do to continue to be successful; because if we become complacent, brother it's all over with.

More on Supermarket Tire Stores

It was in this period that I was beginning to think, "There must be some way I could work it so I could start a tire store any place and not worry about getting franchises from the rubber company." First, every place I wanted to open already had an O.K. Rubber Welder; I dropped out of O.K. but now I had General Tires for my main supply, and I was hemmed in again. It is harder to visualize today, but at this time you almost had to have at least one of the major rubber company lines of tires to be

in the tire business completely. I was praying for the day we didn't need a franchise to sell tires. I didn't know how it was going to happen, but I was praying it would. When you had a major company line up of tires, they had you under their control . . . at least somewhat. If you sold other tires they would threaten to cancel you, if you lost the major line you couldn't very well be in the tire business completely.

The big break came mostly with the overproduction of tires, and the entering of foreign built tires into America. Montgomery Ward, who was really large in tires at that time, switched from Uniroyal to Firestone. This left Uniroyal with a lot of surplus molds and potential production. They opened their doors to large tire dealers to form buying groups. All the tire dealers were damn disgusted with the major rubber companies, so most all of them jumped on the bandwagon. I could see the light, but I had to get larger to get in on the action. Hurry, hurry, let's get there. I want to help rub the major brand companies' noses right into the ground. We got there later, and I'll cover more of this later.

Restaurant Experience

I guess as I think back I've always been interested in business. Even on the farm, when we went to town, the stores and the people working in the stores interested me. That probably is the reason I was successful with my newspaper routes. The newspapers, in the 1930 plus period, were very competitive and if you had ability you could make good money. There was about 25 percent unemployment during this depression period, my folks died when I was 15, but I never took a dime of welfare money. I always could find more work than I could do. I think one thing that convinced me to be a salesman and a businessman was a job I had one summer along with my newspaper route (before I got the whole city) working in a restaurant. I washed dishes and I washed them all by hand, no dishwasher. It was the Idlewood Cafe, on Franklin, just west of Wall Street; I got $3 per week and

my lunch and dinner. Later on they put a white shirt on me, a black bow tie and I waited tables. I don't think I had eaten in a restaurant in my life, so I was like a young bull seeing live people for the first time. We would recite our menu, and the people would select. I really messed up a lot of people, but after a few weeks I got the hang of it and did fairly well. After school started I got $1.50 per week and dinner, but it was hard work with the paper route early in the morning, school all day, and working until 8:30 at night. I needed time to collect my newspaper route, and to sell more subscriptions. The only time I had was Saturday mornings. So I quit the restaurant and started working harder with my newspaper route. If I remember correctly, we got 50¢ for each new subscription we sold. That's like $5 today. I could make more in a few hours when I was hot than I could all week at the restaurant. That convinced me that selling and business would be my career.

Corporate Executives — Rubber Companies

As a young person I always thought that the heads of large corporations must be human calculators. As I got deeper into the tire business, and met many of these people, I was surprised. So often all they knew was the policy of the company. Ask them a question, and the policy would flow from the mouth in a stream. They couldn't think on their own. Probably the reason they were at the top was that they always followed policy. The good people, who could think and had guts, had dropped out of the company long ago and went out on their own. It got worse instead of better as time went along, and I think without a doubt that this had a lot to do with our trade imbalances of today.

The first few years I was in the tire business, I met many men who were great tire people. I learned a lot from them and would look forward to their next visit. The companies didn't have the guts to pay them a salary and often started them on straight commission, gave them a territory and told them, we will give

you 5 percent or 3 percent of everything you sell. These men, if good, and only the good survived, built their territories and often got up to earning more than the college educated district manager in the regional office. They were worth more, but along came the college clerks with the calculators . . . and I can just see them selling a new program to the management people. It would go like this: The man out in the field would have a base salary of $1,000 per month and a maximum bonus of $5,000 or a top pay of $17,000. The next man up would start at $17,000 and have a maximum bonus of $6,000 and so on up. In selling this program, please note that the man below, at best, can never make more than the man above. Sounds good, but what happened to the man I looked forward to seeing, the man who had built the territory, the man you could respect? He quit. His job was filled with young punks just out of school that didn't know a damn. It was a waste of time to talk to them, and you were a sucker if you tried to take them out on commercial calls.

I've often said we should send Goodyear, Firestone and other large rubber companies a Christmas card each year and thank them for their policies, as their policies made it possible for us to be successful. So the same things that I got mad at them about are the same things that helped us in the end. For example, Firestone's program for their territory people went like this: In order to earn top bonus you had to sign up new dealers, increase sales and sell top dollars in various categories such as truck tires, passenger tires, batteries, etc. A salesman could have eight counties. He could have the very best dealer in each county, he could have the highest sales per car registration of anywhere in the U.S., yet if he didn't sign up new dealers, push unneeded tires onto the dealers, and various other cruddy business practices he couldn't earn top bonus. No credit for holding the top dealers, and no credit for holding the high sales. In attempting to sign new dealers and the other business practices he irritated his present dealers. What a stupid program coming from such a large corporation. I thank them for making it possible for us to succeed.

Many times we would open a new store in a city and there might be five tire dealers in town. By the end of the first year, maybe two of them would lock the doors. It wasn't us that ran

them out, it was their own suppliers that broke them, we merely pushed them over the hill. Thank you, Mr. Major Rubber Company.

I spoke earlier about truck tire sales and the selfish way the large rubber companies sold these tires to their dealers. Everyone could buy truck tires for less money than the dealer. They had the Original Equipment Dealer (car manufacturers, trailer manufacturers, others) who bought 15 percent to 20 percent below dealer cost. The oil companies could buy for less, service stations at this time sold 55 percent of all the tires in America, today it is about 10 percent. So for the dealer to sell truck tires he nearly always had to get support from the company. They called it meeting a competitive situation. I remember one time in my office, I was mad, and I told them, "I don't know just how I am going to do it, but you SOB's someday are going to meet a competitive situation right across this desk. You are going to compete against other rubber companies right across this desk." Yes, that day did come, and I'm proud of what part I played in arranging this.

Another favorite program of the rubber companies was to have what they called National Accounts. They would sign up large companies (and some not so large) and bill them direct. The dealer would get 5 percent for delivering the tires, but it would cost the dealer more than 5 percent for the bookwork and interest expense. I remember well Ford Robertson, the Pendleton dealer for General Tire. He was good with large commercial accounts, but General Tire signed up his large accounts. He was making 20/25 percent profit, had to drop to 5 percent and it broke him. Also the rubber companies had a deal for state, county and city cars and trucks. They sold the City of Prineville tires at over 20 percent below my cost. The City of Prineville bought about $1,000 worth of tires per year. Man, was I ever looking for a new source of supply . . . but where?

I came very close many times to dropping all truck sales. Why didn't I? Two things made it possible for us to stay in the truck tire business. One was the Seiberling Tire Company, who had been bought out by Firestone. Firestone had put their research into Seiberling, and they developed us three truck tires of quality that we could sell and make a profit. The other was Toyo Tires

which was coming into the picture. The major rubber companies had bankrupted their dealers, often leaving us as the only dealer in town who offered service, so we could sell Seiberling and Toyo tires at Goodyear prices and make a profit. Goodyear didn't have a dealer in town to offer service, they had gone broke a couple of years back. It opened the door for us.

We are the only chain of independent tire stores in the U. S. that is in the truck tire business and the earthmover tire business. We retread tires in our shop that sell for over $2,000 and you don't want to make mistakes with that type of tire. The foreign tires have saved the life of our company, and many other independent tire dealers. I thank God for the opportunity to sell foreign tires, I don't feel one bit bad about selling them over American made tires.

The Les Schwab Tires Sign

I was so disgusted with the tire suppliers that I was willing to do most anything to help my company survive. About 1966 or thereabouts I made a big decision. I decided to take down all rubber company signs, to go straight independent, to buy tires like Safeway buys groceries, to buy the best possible tire, good quality, and at the lowest possible price. This was a major move at that time, no one had really tried it. I needed a sign to replace the rubber company signs. Our sign man Dick Carlson, who still makes our signs, and I rode down the streets of Prineville. There were not many lighted signs in Prineville at that time. We came to the Standard Oil sign where it said Standard, and then Chevron was in the box. I said, "There it is, put *Les Schwab* where they have Standard, and put *Tires* where they have the Chevron logo." That is how we adopted the Les Schwab sign. Maybe I should pay Standard Oil a royalty, but I don't think they want it or need it. So now we were truly a Supermarket Tire Store, as in no way were we identified with any rubber company. The only signs on our buildings were the Les Schwab Tire Center

Eighteen trucks like this run over the road constantly.